

STRATEGY LEVEL

We saw that we can determine to stop losses on strategy level as well. Let us say we limit daily losses to 4%, so in case the losses exceed 4% of the amount, all trades in the strategy will be squared off and the strategy will be inactivated for the day. We can again denote stop losses in terms of amount or percentage.

SYSTEM LEVEL

We can also have stop losses determined at the system level. If the total loss in the system exceeds a particular amount or percentage, the system will be disabled. We see that we can automate these going ahead. However, for now, we will do this manually ourselves. When the losses exceed a certain level, we will manually square off each trade.

As a practice, we must have a stop loss determined at each level and follow it very strictly. This is one of the first ways how risk is managed. Let us understand more about Stop Losses.